TEACHER GUIDE

WJEC Eduqas GCSE (9-1) in Business (C510QS)

# Financial ratios

Finance
**Financial performance**



A revision lesson. Pupils run a car dealership in firms of four and revise financial ratios on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Gross profit margin

Round 1

Last year's accounts.

**Gross profit margin, as a %?**

| | |
|---|---|
| Cars sold | **12 cars** |
| Price per car | **£16,500** |
| Gross profit | **£45,540** |

**ANSWER**

**23%**

12 × £16,500 = £198,000; £45,540 ÷ £198,000 × 100 = 23%

**Why:** It keeps 23p of every £1 of sales before overheads.

## 2 Why net margin fell

Round 1

Gross profit margin stayed the same, but net profit margin fell.

**Which two could explain this?**

- **A** Cars cost more to buy
- **B** Prices were cut
- **C** Staff wages rose
- **D** More cars were sold
- **E** Rent rose

**ANSWER**

- ✔ **Staff wages rose**
- ✔ **Rent rose**

**Why:** Only overheads come between gross and net profit.

## 3 Rank gross margin

Round 2

Three dealers: sales and gross profit for the year.

**Order by gross margin, highest first?**

- **A** Sales £200,000, gross profit £50,000
- **B** Sales £80,000, gross profit £24,000
- **C** Sales £500,000, gross profit £100,000

**ANSWER**

1. **Sales £80,000, gross profit £24,000**
2. **Sales £200,000, gross profit £50,000**
3. **Sales £500,000, gross profit £100,000**

**Why:** Margins 30%, 25%, 20%: the biggest profit has the lowest margin.

# Topic tasks

## 4 Gross margin change

Round 2

Two years compared.

**Gross margin change, in % points?**

| | |
|---|---|
| Sales, last year | **£200,000** |
| Gross profit, last year | **£32,000** |
| Sales, this year | **£190,000** |
| Gross profit, this year | **£47,500** |

**ANSWER**

**9%**

£47,500 ÷ £190,000 = 25%;
£32,000 ÷ £200,000 = 16%;
25 − 16 = 9 points

**Why:** The margin went from 16% to 25%.

## 5 Raise gross margin

Round 3

You want a higher gross profit margin.

**Which change works, and why?**

**A** Buy cars more cheaply

**B** Cut the showroom rent

**ANSWER**

**✔ Buy cars more cheaply**

**Why:** Rent is an overhead; gross margin is price less the cost of the cars.

## 6 New net margin

Round 3

Overheads are going up.

**New net profit margin, as a %?**

| | |
|---|---|
| Sales | **£200,000** |
| Gross profit | **£19,900** |
| Overheads | **£9,000** |
| Overheads rise by | **10%** |

**ANSWER**

**5%**

£9,000 + 10% = £9,900;
£19,900 − £9,900 = £10,000;
÷ £200,000 = 5%

**Why:** Work out the new overheads first, then the margin.

# Final questions

Each pupil answers 6 final questions on financial ratios. They come from these 12 questions.

Then each pupil writes one short answer: “Explain one way a dealer could raise its profit margin.”

1. A dealership has gross profit of £60,000 and sales revenue of £150,000. What is its gross profit margin?
   ✔ **40%**

2. A motor business records net profit of £18,000 and sales revenue of £120,000. What is its net profit margin?
   ✔ **15%**

3. A workshop has £30,000 gross profit and a 30% gross profit margin. What is its sales revenue?
   ✔ **£100,000**

4. A dealership expects £80,000 sales revenue and sets a target net profit margin of 6.25%. What net profit would meet the target?
   ✔ **£5,000**

5. A promoted line’s gross profit stays £30,000 while sales revenue rises from £84,000 to £90,000. What is the new gross profit margin?
   ✔ **33.3% (approximately)**

6. A dealer’s net profit stays £12,000 while sales revenue rises from £96,000 to £120,000. What happens to net profit margin?
   ✔ **It falls by 2.5 percentage points**

7. The Finance lead divides £140,000 sales revenue by £21,000 net profit and reports a 6.7% net profit margin. What is the correct margin?
   ✔ **15%**

8. Sales revenue rises but net profit margin falls. What should the Finance lead investigate?
   ✔ **Whether costs rose faster than revenue**

9. Gross profit margin = gross profit ÷ revenue × 100. Revenue is £600,000 and gross profit £150,000. Using the formula, what is the gross profit margin?
   ✔ **25%**

10. A dealer’s sales revenue is £400,000 and its gross profit £100,000. What is the gross profit margin?
    ✔ **25%**

# Final questions

**11** A workshop’s gross profit margin is 40% and its sales revenue £250,000. What is its gross profit?

✔ **£100,000**

**12** A dealer’s gross profit margin rises from 18% to 22%. What does this show?

✔ **More of each £1 of sales is left after cost of sales**